

Obsidian Solutions Limited

Annual report and financial statements

Registered number 09737564

31 March 2022



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Company information

Directors	ENB Fraser JC Paton L Radenovic (Resigned 19 January 2022) NE Spencer (Resigned 30 October 2021) LJ Griggs (Appointed 30 October 2021) GA Cook (Appointed 30 June 2022)
Company number	09737564
Registered office	60 Gresham Street, London, EC2V 7BB
Auditor	KPMG LLP St Nicholas House 31 Park Row, Nottingham, NG1 6FQ
Banker	SVB Bank Alphabeta, 14-18 Finsbury Square, London, EC2A 1BR

Directors' report

The Directors present their report and the audited financial statements for the year ended 31 March 2022.

Principal activities

The principal activity of the Company continued to be the development and provision of software and related services for the asset and wealth management industry.

Results and dividend

For the year ended 31 March 2022 (FY 22¹), the Company recorded revenue of £803,000 (FY 21: £760,000). Profit after tax transferred to reserves increased to £136,000 (FY 21: £16,000). This growth represents less progress than planned in the year, however the Company has a good pipeline of opportunities going into FY 23. The Directors are confident of achieving further progress, based on the level of on-going work at the start of FY 23, and the pipeline of future opportunities.

The results for the year are set out in the attached profit and loss account. The Directors have not recommended the payment of a final dividend (FY 21: £nil).

Future developments

The Directors are cautiously optimistic of improved financial performance in the coming year based on the level of on-going work at the start of the financial year, and the pipeline of future opportunities.

Directors

The Directors who held office during the year and at the date of this report were as follows:

ENB Fraser
JC Paton
L Radenovic (Resigned 19 January 2022)
NE Spencer (Resigned 30 October 2021)
LJ Griggs (Appointed 30 October 2021)
GA Cook (Appointed 30 June 2022)

Political contributions

The Company made no political donations and incurred no political expenditure during the year.

Employee involvement

Attracting, retaining, and developing the very best people in the industry is integral to the Company's culture and ongoing success. The Company is committed to providing a highly rewarding place to work, and to maintaining a unique and inclusive culture that places people at the heart of the business. To achieve this, there is a strong emphasis on interaction, open communication and the exchange of proactive insights from the employee base. Employee feedback has always been a significant component of that picture.

Engagement with suppliers and customers

The Directors note the importance of fostering strong relationships with the Company's customers and suppliers through open communication and having regard for these relationships in strategic decisions made relating to the Company.

Environmental reporting

In accordance with the Companies Act 2006 and HM Government's 'Environmental Reporting Guidelines', the Company has not re-disclosed those disclosures required by the Company's environmental reporting responsibilities (including Streamlined Energy and Carbon reporting) on the basis that this information is available on our website in the Group's Annual Report & Accounts 2022 on pp.76-80.

¹FY 22 is the financial year covering the 12 months to 31 March 2022. By comparison, FY 21 is the previous financial year covering the 12 months to 31 March 2021; FY 23 is the subsequent financial year covering the 12 months to 31 March 2023.

²Group refers to the Company's ultimate parent, Alpha Financial Markets Consulting plc and its subsidiaries.

Directors' report (continued)

Disclosure of information to auditor

The Directors who held office at the date of approval of this Directors' report confirm that, so far as they are each aware, there is no relevant audit information of which the Company's auditor is unaware; and each Director has taken all the steps that they ought to have taken as a Director to make themselves aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Auditor

Pursuant to Section 487 of the Companies Act 2006, the auditor will be deemed to be reappointed and KPMG LLP will therefore continue in office.

By order of the Board.



John C Paton

Director

60 Gresham Street

London EC2V 7BB

12 October 2022

Statement of Directors' responsibilities in respect of the Directors' report and the financial statements

The directors are responsible for preparing the Directors' Report and the financial statements in accordance with applicable law and regulations.

Company law requires the directors to prepare financial statements for each financial year. Under that law they have elected to prepare the financial statements in accordance with UK accounting standards and applicable law (UK Generally Accepted Accounting Practice), including FRS 101 *Reduced Disclosure Framework*.

Under company law the directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the directors are required to:

- select suitable accounting policies and then apply them consistently;
- make judgements and estimates that are reasonable and prudent;
- state whether applicable UK accounting standards have been followed, subject to any material departures disclosed and explained in the financial statements;
- assess the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and
- use the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are responsible for such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error, and have general responsibility for taking such steps as are reasonably open to them to safeguard the assets of the Company and to prevent and detect fraud and other irregularities.

Under applicable law and regulations, the Directors are also responsible for preparing a Directors' Report that complies with that law and those regulations.

The directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions

Independent auditor's report to the members of Obsidian Solutions Limited

Opinion

We have audited the financial statements of Obsidian Solutions Limited ("the Company") for the year ended 31 March 2022 which comprise the Profit and Loss account, Balance sheet, Statement of changes in Equity and related notes, including the accounting policies in note 1.

In our opinion the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 March 2022 and of its Profit for the year then ended;
- have been properly prepared in accordance with UK accounting standards, including FRS 101 *Reduced Disclosure Framework*; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) ("ISAs (UK)") and applicable law. Our responsibilities are described below. We have fulfilled our ethical responsibilities under, and are independent of the Company in accordance with, UK ethical requirements including the FRC Ethical Standard. We believe that the audit evidence we have obtained is a sufficient and appropriate basis for our opinion.

Going concern

The directors have prepared the financial statements on the going concern basis as they do not intend to liquidate the Company or to cease its operations, and as they have concluded that the Company's financial position means that this is realistic. They have also concluded that there are no material uncertainties that could have cast significant doubt over its ability to continue as a going concern for at least a year from the date of approval of the financial statements ("the going concern period").

In our evaluation of the directors' conclusions, we considered the inherent risks to the Company's business model and analysed how those risks might affect the Company's financial resources or ability to continue operations over the going concern period.

Our conclusions based on this work:

- we consider that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate;
- we have not identified, and concur with the directors' assessment that there is not, a material uncertainty related to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for the going concern period.

However, as we cannot predict all future events or conditions and as subsequent events may result in outcomes that are inconsistent with judgements that were reasonable at the time they were made, the above conclusions are not a guarantee that the Company will continue in operation.

Fraud and breaches of laws and regulations – ability to detect

Identifying and responding to risks of material misstatement due to fraud

To identify risks of material misstatement due to fraud ("fraud risks") we assessed events or conditions that could indicate an incentive or pressure to commit fraud or provide an opportunity to commit fraud. Our risk assessment procedures included:

- Enquiring of directors as to the Company's high-level policies and procedures to prevent and detect fraud, as well as whether they have knowledge of any actual, suspected or alleged fraud.
- Reading Board minutes.
- Considering remuneration incentive schemes and performance targets for management and Directors.
- Using analytical procedures to identify any unusual or unexpected relationships.

We communicated identified fraud risks throughout the audit team and remained alert to any indications of fraud throughout the audit.

As required by auditing standards, we perform procedures to address the risk of management override of controls and the risk of fraudulent revenue recognition, in particular the risk that revenue is recorded in the wrong period and the risk that management may be in a position to make inappropriate accounting entries, and the risk of bias in accounting estimates and judgements such as share-based payment assumptions.

We did not identify any additional fraud risks.

We performed procedures including:

- Identifying journal entries to test based on risk criteria and comparing the identified entries to supporting documentation. These included unusual pairings with a credit or debit to an account below EBITDA and unusual journals with a credit or debit entry to cash;
- Identifying revenue transactions to test based on unusual pairings with a credit or debit to revenue;
- Assessing significant accounting estimates for bias.

Identifying and responding to risks of material misstatement due to non-compliance with laws and regulations

We identified areas of laws and regulations that could reasonably be expected to have a material effect on the financial statements from our general commercial and sector experience, and through discussion with the directors and other management (as required by auditing standards), and discussed with the directors and other management the policies and procedures regarding compliance with laws and regulations.

We communicated identified laws and regulations throughout our team and remained alert to any indications of non-compliance throughout the audit.

The potential effect of these laws and regulations on the financial statements varies considerably.

Firstly, the Company is subject to laws and regulations that directly affect the financial statements including financial reporting legislation (including related companies legislation), distributable profits legislation and taxation legislation, and we assessed the extent of compliance with these laws and regulations as part of our procedures on the related financial statement items.

Secondly, the Company is subject to many other laws and regulations where the consequences of non-compliance could have a material effect on amounts or disclosures in the financial statements, for instance through the imposition of fines or litigation. We identified the following areas as those most likely to have such an effect: anti-bribery and employment law recognising the financial nature of the Company's activities. Auditing standards limit the required audit procedures to identify non-compliance with these laws and regulations to enquiry of the directors and other management and inspection of regulatory and legal correspondence, if any. Therefore if a breach of operational regulations is not disclosed to us or evident from relevant correspondence, an audit will not detect that breach.

Independent auditor's report to the members of Obsidian Solutions Limited (continued)

Context of the ability of the audit to detect fraud or breaches of law or regulation

Owing to the inherent limitations of an audit, there is an unavoidable risk that we may not have detected some material misstatements in the financial statements, even though we have properly planned and performed our audit in accordance with auditing standards. For example, the further removed non-compliance with laws and regulations is from the events and transactions reflected in the financial statements, the less likely the inherently limited procedures required by auditing standards would identify it.

In addition, as with any audit, there remained a higher risk of non-detection of fraud, as these may involve collusion, forgery, intentional omissions, misrepresentations, or the override of internal controls. Our audit procedures are designed to detect material misstatement. We are not responsible for preventing non-compliance or fraud and cannot be expected to detect non-compliance with all laws and regulations.

Directors' report

The Directors are responsible for the Directors' report. Our opinion on the financial statements does not cover this report and we do not express an audit opinion thereon.

Our responsibility is to read the directors' report and, in doing so, consider whether, based on our financial statements audit work, the information therein is materially misstated or inconsistent with the financial statements or our audit knowledge. Based solely on that work:

- we have not identified material misstatements in the directors' report;
- in our opinion the information given in this report for the financial year is consistent with the financial statements; and
- in our opinion this report has been prepared in accordance with the Companies Act 2006.

Matters on which we are required to report by exception

Under the Companies Act 2006 we are required to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit; or
- the directors were not entitled to take advantage of the small companies exemption from the requirement to prepare a strategic report.

We have nothing to report in these respects.

Directors' responsibilities

As explained more fully in their statement set out on page 4, the directors are responsible for: the preparation of the financial statements and for being satisfied that they give a true and fair view; such internal control as they determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error; assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern; and using the going concern basis of accounting unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

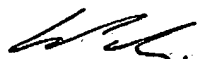
Auditor's responsibilities

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue our opinion in an auditor's report. Reasonable assurance is a high level of assurance, but does not guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

A fuller description of our responsibilities is provided on the FRC's website at www.frc.org.uk/auditorsresponsibilities.

The purpose of our audit work and to whom we owe our responsibilities

This report is made solely to the Company's members, as a body, in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members, as a body, for our audit work, for this report, or for the opinions we have formed.



Craig Parkin (Senior Statutory Auditor)

for and on behalf of KPMG LLP, Statutory Auditor

Chartered Accountants

St Nicholas House,

31 Park Row,

Nottingham,

NG1 6FQ

13 October 2022

Profit & loss account
for the year ended 31 March 2022

	Note	Year ended 31 March 2022 £000	Year ended 31 March 2021 £000
Revenue	2	803	760
Cost of sales		(276)	(307)
Gross profit		527	453
Administrative expenses	4, 5	(367)	(426)
Operating profit		160	27
Other interest receivable and similar income		-	-
Profit before taxation		160	27
Taxation	6	(24)	(11)
Profit for the financial year		136	16

In both the current and preceding year, the Company made no acquisitions and had no discontinued operations.

There were no recognised gains or losses in either the current or preceding year other than those disclosed in the profit and loss account, and therefore no separate statement of other comprehensive income has been presented.

The accompanying notes form part of these financial statements.

Balance sheet
As at 31 March 2022

	Note	As at 31 March 2022 £000	As at 31 March 2021 £000
Non-current assets			
Tangible fixed assets	7	7	9
Capitalised implementation costs		34	61
		41	70
Current assets			
Debtors	8	605	248
Cash at bank and in hand		213	364
		818	612
Current liabilities			
Creditors: amounts falling due within one year	9	(231)	(177)
		(231)	(177)
Net current assets			
		587	435
Total assets less current liabilities			
		628	505
Non-current liabilities			
Deferred income		(46)	(59)
Net assets			
		582	446
Capital and reserves			
Called up share capital	10	-	-
Share premium account		689	689
Profit and loss account		(107)	(243)
Shareholders' funds			
		582	446

The accompanying notes form part of these financial statements. These financial statements were approved and authorised for issue by the Board of Directors on 12 October 2022. They were signed on its behalf by



John C Paton
Director

Company registered number: 09737564

Statement of changes in equity

	Called up share capital £000	Share premium account £000	Profit and loss account £000	Total shareholders' funds £000
As at 1 April 2020	-	689	(259)	430
Total comprehensive income for the period				
Profit for the period	-	-	16	16
Transactions with owners				
Shares issued	-	-	-	-
As at 31 March 2021	-	689	(243)	446
Total comprehensive income for the period				
Profit for the period	-	-	136	136
Transactions with owners				
Shares issued	-	-	-	-
As at 31 March 2022	-	689	(107)	582

The accompanying notes form part of these financial statements.

Notes

(forming part of the financial statements)

1 Accounting policies

Obsidian Solutions Limited (the "Company") is a Company limited by shares, domiciled and registered in the UK. The registered number is 09737564 and the registered address is 60 Gresham Street, London, EC2V 7BB.

These financial statements were prepared in accordance with Financial Reporting Standard 101 Reduced Disclosure Framework ("FRS 101").

In preparing these financial statements, the Company applies the recognition, measurement and disclosure requirements of International Financial Reporting Standards ("Adopted IFRSs") but makes amendments where necessary in order to comply with Companies Act 2006 and has set out below where advantage of the FRS 101 disclosure exemptions has been taken. Further, in accordance with Section 414A (2) and 414B (b) of the Companies Act 2006, the Company has taken the exemption from preparing a strategic report.

The Company's ultimate parent undertaking, Alpha Financial Markets Consulting Plc, includes the Company in its consolidated financial statements. The consolidated financial statements of Alpha Financial Markets Consulting Plc are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB.

In these financial statements, the Company has applied the exemptions available under FRS 101 in respect of the following disclosures:

- A cash flow statement and related notes;
- Comparative period reconciliations for share capital, tangible fixed assets, intangible assets and investment properties;
- Disclosures in respect of transactions with wholly owned subsidiaries;
- Disclosures in respect of capital management;
- The effects of new but not yet effective IFRSs;
- Disclosures in respect of the compensation of Key Management Personnel; and
- Disclosures of transactions with a management entity that provides key management personnel services to the Company.

As the consolidated financial statements of Alpha Financial Markets Consulting Plc include the equivalent disclosures, the Company has also taken the exemptions under FRS 101 available in respect of the following disclosures:

- IFRS 2 Share-Based Payments in respect of Group settled share based payments; and
- Certain disclosures required by IFRS 16 Leases in relation to disclosure of the Company's leasing activities.
- Certain disclosures required by IFRS 3 Business Combinations in respect of business combinations undertaken by the Company.

The accounting policies set out below have, unless otherwise stated, been applied consistently to all periods presented in these financial statements.

1.1 Basis of preparation

These financial statements have been prepared under the historical cost basis, except for certain financial instruments that are measured at fair value.

The presentational currency of these financial statements and the functional currency of the Company is pounds sterling. All amounts in these financial statements have been rounded to the nearest £1,000, unless stated otherwise.

1.2 Significant judgements and estimates

The preparation of financial information in accordance with IFRS requires management to make judgements, estimates and assumptions that affect the application of accounting policies and reported amounts of assets and liabilities, income and expenses.

The Directors have made one judgement, excluding those involving estimations, in the process of applying the Company's accounting policies that are considered to have a significant effect on the amounts recognised in the financial statements for the period ending 31 March 2022.

Revenue recognition

The Directors note that the process of revenue recognition in the Company requires a judgement to be made on the identification of distinct performance obligations under the Company's software contracts with customers. These contracts comprise software fees and other related services, which customers can access over the life of the contract, in line with related performance obligations. Interpretation of the terms of these contracts determine whether the performance obligation is satisfied over time or at a point in time. For further information on the accounting policy implemented by the Company, please refer to section 1.11 below.

1.3 Going concern

In assessing the Company's ability to continue on a going concern basis for a period of at least 12 months from the approval of these financial statements (the "going concern period"), the Directors considered the Company's projected cash flows, cash liquidity and existing undrawn borrowing facilities.

As at 31 March 2022, the Company held considerable financial resources including cash balances of £213,000. The Company also has access, throughout the going concern period, to a revolving credit facility ("RCF") of £20.0m, through other Group companies, providing further liquidity.

The Company prepared cash flow forecasts covering the going concern period. The base case assumes trading performance over the forecast period in line with average revenue growth in recent years at similar margins, and additionally incorporates future cash flows related to payments due. The Directors considered the principal risks and mitigants and analysed a range of cash flow downside scenarios including a "reverse-stress test" scenario. This models the decline in sales that the Company would be able to absorb over the going concern period before utilising all of the existing cash reserves available. The Directors consider this scenario and the sequence of events that could lead to it to be remote, as it requires significant annualised revenue reductions compared to the base case, before modelling any mitigating actions, including cost reductions.

The Directors have considered the Company's continued growth, and new business pipeline, while also remaining cognisant of the potential macroeconomic uncertainty resulting from recent events in Ukraine, which the Directors do not consider to be a material uncertainty for going concern purposes.

After careful consideration of these scenarios, the Directors have a reasonable expectation that the Company's existing resources are adequate to meet its requirements over the going concern period. On this basis, the Directors consider that it is appropriate to adopt the going concern basis in preparing the financial statements.

Notes (continued)

1 Accounting policies (continued)

1.4 Foreign currency

Transactions in foreign currencies are translated to the Company's functional currencies at the foreign exchange rate ruling at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies at the balance sheet date are retranslated to the functional currency at the foreign exchange rate ruling at that date. Non-monetary assets and liabilities that are measured in terms of historical cost in a foreign currency are translated using the exchange rate at the date of the transaction. Non-monetary assets and liabilities denominated in foreign currencies that are stated at fair value are retranslated to the functional currency at foreign exchange rates ruling at the dates the fair value was determined. Foreign exchange differences arising on translation are recognised in the profit and loss.

1.5 Financial instruments

The Company uses financial instruments comprising cash and cash equivalents and other short-term instruments, such as trade payables that arise from its operations. The main purpose of these financial instruments is to fund the Group's business strategy and working capital requirements.

Accounting policies in respect of financial instruments are outlined below.

Financial assets

Financial assets are initially measured at fair value plus or minus, in the case of a financial asset not at fair value through profit or loss, transaction costs. The Company has not reclassified any financial assets subsequent to initial recognition as at the balance sheet date. Reclassification of classes of financial assets is accounted for prospectively in accordance with IFRS 9, where this is required. Any difference on reclassification from amortised cost to fair value through profit or loss is recognised in the profit and loss at the reclassification date.

Financial assets are assessed at each reporting date to determine a lifetime expected credit loss that reflects the credit risk associated with the portfolio of assets. A financial asset is impaired in line with the simplified approach under IFRS 9 which uses a lifetime expected loss allowance.

An impairment loss in respect of a financial asset measured at amortised cost is calculated as the difference between its carrying amount and the present value of the estimated future cash flows discounted at the asset's original effective interest rate. For financial instruments measured at cost less impairment, impairment is calculated as the difference between its carrying amount and the best estimate of the amount that the Company would receive for the asset if it were to be sold at the reporting date. Interest on the impairment asset continues to be recognised through the unwinding of the discount. Impairment losses are recognised in profit or loss. When a subsequent event causes the amount of the impairment to decrease, the decrease in impairment loss is reversed through statement of comprehensive income.

Trade and other debtors

Trade and other receivables are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of trade receivables is established when there is objective evidence that the Company will not be able to collect all amounts due according to the original terms of the receivables. The provision is recognised in the income statement as an operating charge.

The trade receivables' balances recorded in the Company's statement of financial position comprise a relatively small number of large balances and are held until realised in cash.

Alpha provides services to customers on credit terms with mainly arrears billing. Certain receivables may not be paid. The Company applies the IFRS 9 simplified approach to measuring expected credit losses which uses a lifetime expected loss allowance for all trade receivables. To measure expected credit losses, trade receivables have been grouped based on shared credit characteristics and the days past due. The Company considers historical loss rates for each ageing category as a starting point for estimating the expected credit loss. This historical loss rate is subsequently adjusted for macro-economic and customer specific factors of receivables within each ageing category. Characteristics considered by the Company for these purposes include historical collection experience for each customer, the assessed liquidity of key customers within the receivables balance, and other relevant macro-economic factors in order to determine a reasonable and supportable assessment of the expected lifetime credit risk in the context of the overall year-end trade receivables due.

Amounts owed by Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost, less provision for impairment. A provision for impairment of intercompany receivables is established using an expected credit loss model. The Group classifies all intercompany receivables that form a part of the normal trading cycle of the Group as current, as well as non-trading balances where the counterparty has sufficient resources to settle the balance within a twelve-month period from the balance sheet date. All other amounts owed by Group undertakings are considered as non-current assets. This represents a change in accounting policy in the year. All balances were considered current in the comparative period.

Cash and cash equivalents

Cash and cash equivalents comprise cash balances and call deposits and are recorded and subsequently measured at amortised cost in line with IFRS 9.

Financial liabilities

Financial liabilities at fair value through profit or loss include financial liabilities held for trading and financial liabilities designated upon initial recognition as at fair value through profit or loss. Financial liabilities are classified as held for trading if they are acquired for the purpose of selling in the near term. This category includes derivative financial instruments entered into by the Company that are not designated as hedging instruments in hedge relationships as defined by IFRS 9. As at 31 March 2022, the Company had no such financial liabilities.

Other financial liabilities held by the Group are recognised at amortised cost.

Trade and other creditors

Trade and other creditors are recognised initially at fair value. Subsequent to initial recognition they are measured at amortised cost using the effective interest method.

Amounts owed to Group undertakings

Amounts owed by Group undertakings are recognised initially at fair value and subsequently measured at amortised cost.

Notes (continued)

1 Accounting policies (continued)

1.5 Financial instruments (continued)

Leases

The Company leases office premises in various jurisdictions. Leases are negotiated on an individual basis, and for a variety of terms over which rentals are fixed with break clauses and options to extend for a further period at the then prevailing market rate. Rental agreements to which IFRS 16 has been applied, span anywhere from 13 months to 10 years. Contracts may contain both lease and non-lease components. Non-lease components are separately identifiable and excluded from the lease for the purpose of IFRS 16 implementation.

The lease agreements do not impose any covenants other than the security interests in the leased assets that are held by the lessor. Leased assets may not be used as security for borrowing purposes.

The Company has used the practical expedients permitted by IFRS 16 in relation to accounting for leases with a remaining lease term of less than 12 months as at 1 April 2021 as 'short-term leases', and those with a low value as 'low value leases'. Consequently, no lease liability or right-of-use asset was calculated thereon. These leases are expensed in the statement of profit and loss. The Company has also used the practical expedient permitted by IFRS 16 to apply a single discount rate to a portfolio of leases with reasonably similar characteristics.

1.6 Tangible fixed assets

All property, plant and equipment are stated at historical cost (or deemed historical cost) less accumulated depreciation. Cost includes the original purchase price of the asset and the costs attributable to bringing the asset to its working condition for its intended use.

Depreciation is provided on all property, plant and equipment at rates calculated to write each asset down to its estimated residual value on a straight-line basis at the following annual rates:

Computer equipment	3 years straight line
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Useful economic lives and estimated residual values are reviewed annually and adjusted as appropriate.

1.7 Employee benefits

Defined contribution plans

A defined contribution plan is a post-employment benefit plan under which the Groups pays fixed contributions into a separate entity and will have no legal or constructive obligation to pay further amounts. Obligations for contributions to defined contribution pension plans are recognised as an expense in the profit and loss account in the periods during which services are rendered by employees.

1.8 Impairment

Non-financial assets

The carrying amounts of the entity's non-financial assets, other than deferred tax assets, are reviewed at each reporting date to determine whether there is any indication of impairment. If any such indication exists, then the assets' recoverable amount is estimated. The recoverable amount of an asset or cash-generating unit is the greater of its value in use and its fair value, less costs to sell. In assessing value in use, the estimated future cash flows are discounted to their present value using a pre-tax discount rate that reflects current market assessments of the time value of money and the risks specific to the asset. For the purposes of impairment testing, assets that cannot be tested individually are grouped together into the smallest group of assets that generates independent cash inflows (the "cash-generating unit"); that is, cash inflows from continuing use that are largely independent of the cash inflows of other assets or groups of assets.

An impairment loss is recognised if the carrying amount of an asset or its CGU exceeds its estimated recoverable amount. Impairment losses are recognised in profit or loss. Impairment losses are allocated between the carrying amounts of assets in the unit (or group of units) on a pro-rata basis as a reduction in the value of the asset.

An impairment loss is reversed if and only if the reasons for the impairment have ceased to apply.

Impairment losses recognised in prior periods are assessed at each reporting date for any indication that the loss has decreased or no longer exists. An impairment loss is only reversed to the extent that the asset's carrying amount does not exceed the carrying amount that would have been determined, net of depreciation or amortisation, if no impairment loss had been recognised.

1.9 Provisions

Provisions are distinct from other liabilities as there is uncertainty over the timing or amount of the cash outflow required to settle the liability. Provisions are measured at the present value of the expenditure expected to be required to settle the obligation. These are discounted to present value using an appropriate pre-tax discount rate, where the time value of money is material.

1.10 Revenue recognition

Revenue consists of the value of work executed for clients during the year and expenses recharged, exclusive of VAT. Revenue is classified into net fee income and recharged expenses. Net fee income is measured based on the transaction price allocated to the performance obligation from the sale of goods or provision of services. Net fee income is recognised either at a 'point in time' when the performance obligation in the contract has been performed or 'over time' as control of the goods or services are transferred to the customer. Recharged expenses comprise the recharge of costs incidental to fulfilling contracts including flights, subsistence and accommodation on which nil or negligible margin is earned by the Company. The Company delivers services that have no alternative use to Alpha (advice to clients, reports, etc) as the services are specifically tailored to clients' projects and scope of work.

Revenue generated from software licensing, hosting and related support services provided over a contracted period of time is combined and allocated to a single performance obligation. These contracts are considered to be satisfied over time, in line with the benefits being transferred to the customer. Revenue is recognised on straight-line basis over the contractual licence term.

Notes (continued)

1 Accounting policies (continued)

1.10 Revenue recognition (continued)

Implementation services provided by the Company to the customer are classified as either being distinct performance obligations or non-distinct from the licensing and hosting promises described above, dependent on the fact pattern within the underlying contractual arrangement. The Company considers the level of inter-dependency between the contractual promises, and whether the customer can consume the benefits of the licence without the implementation service being performed. Where implementation services are required for the customer to use the software, these services are considered to be non-distinct from the licensing performance obligation. Therefore, the Company accounts for these as a single performance obligation satisfied over the licence term, as described above. The Company generally considers the initial phase of implementation to be non-distinct from the associated licence. The Company typically bills and receives cash for these implementation services in advance of the revenue being recognised, resulting in the recognition of a contract liability.

Costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset, and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

Other distinct implementation services, as well as separately billable maintenance, support, data assurance and training are treated as separate performance obligations and revenue is recognised as these services are delivered.

Contract modifications relating to the renewal of software licences are accounted for as separate revenue contracts. Other contract modifications are considered on a case by case basis.

Activity performance recognised as revenue in excess of invoices raised are contract receivables and are included within accrued income, up to the value of the relevant project delivery milestone, where applicable. On invoicing, the contract receivable is reclassified to trade receivables. Where amounts have been invoiced in excess of revenue recognised, the excess is a contract liability and is included within deferred income.

In relation to licensing contracts, billing occurs at the beginning of the contractual licence period or incrementally over the course of the licence, in line with the contractual terms. For implementation services, billing typically occurs a month in arrears in line with a contractually agreed schedule.

Revenue is wholly attributable to the principal activities of the Company. For all revenue types, payment is typically due between 30 and 60 days after the invoice date or receipt of invoice, depending on the client and geography.

1.11 Cost of sales

Cost of sales is defined by management as the direct costs associated with the generation of the Company's revenue, including staff payroll and contractor costs, subsistence and travel that are directly attributable to the delivery of services and supporting growth.

With regard to the Company's software licensing arrangements, costs directly related to non-distinct implementation work that are incurred prior to the commencement of the licence are initially recognised as an asset and are subsequently amortised through cost of sales on a systematic basis, in line with the transfer of goods or services to the customer.

1.12 Expenses

Interest receivable and interest payable

Interest payable and similar expenses include interest payable, unwinding of the discount on provisions, and discount unwinding associated with leases within the scope of IFRS 16. Other interest receivable and similar income include interest receivable on funds invested and net foreign exchange gains.

Interest income and interest payable is recognised in profit or loss as it accrues, using the effective interest method.

1.13 Taxation

Tax on the profit or loss for the year comprises current tax. Tax is recognised in the profit and loss account except to the extent that it relates to items recognised directly in equity or other comprehensive income, in which case it is recognised directly in equity or other comprehensive income.

Current tax is the expected tax payable or receivable on the taxable income or loss for the year, using tax rates enacted or substantively enacted at the balance sheet date, and any adjustment to tax payable in respect of previous years.

1.14 New accounting standards and interpretations

The following changes in accounting policies were applied by the Company in these financial statements for the year ended 31 March 2022. These included the adoption of new standards and interpretations described below.

The International Accounting Standards Board (IASB) and IFRS Interpretations Committee (IFRIC) have issued the following standards, amendments and interpretations which are now effective:

- Interest Rate Benchmark Reform – Phase 2 - (Amendments to IFRS 9, IAS 39, IFRS 7, IFRS 4 and IFRS 16), effective from 1 January 2021;
- COVID-19-Related Rent Concessions beyond 30 June 2021 (Amendment to IFRS 16), effective from 1 January 2021;

The Directors reviewed the nature and effect of these new standards on the Company and noted no material impact on the financial statements for the year ended 31 March 2022.

The Directors have considered new standards and interpretations that have been issued but not yet been effective, however have applied the exemption not to disclose this information under FRS 101.

Notes (continued)

2 Revenue

	FY 22 £000	FY 21 £000
Rendering of services	803	760
<i>By activity</i>		
Licensing and implementation of software and associated services	803	760

3 Auditor's remuneration

	FY 22 £000	FY 21 £000
Audit of these financial statements	27	16

Amounts receivable by the Company's auditor and its associates in respect of services to the Company and its associates, other than the audit of the Company's financial statements, have not been disclosed as the information is required instead to be disclosed on a consolidated basis in the consolidated financial statements of the Company's parent, Alpha Financial Markets Consulting Plc.

4 Staff numbers and costs

The average number of persons employed by the Company (including Directors that are directly employed by the company) during the year, analysed by category, was as follows:

	Number of employees	
	FY 22	FY 21
Administrative	2	2
Sales	-	-
	2	2

The aggregate payroll costs of these persons were as follows:

	FY 22 £000	FY 21 £000
Wages and salaries	221	184
Social security costs	24	26
Contributions to defined contribution plans	2	4
	247	214

5 Directors' remuneration

	FY 22 £000	FY 21 £000
Directors' remuneration ²	140	183
Company contributions to money purchase pension plan	-	4
	Number of Directors	
	FY 22	FY 21
Retirement benefits are accruing to the following number of Directors under:		
Money purchase schemes	-	1
Long term share incentive plan	-	-

The aggregate of remuneration and amounts receivable under Company long term incentive schemes of the highest paid Director was £140,000 (FY 21: £187,000). Decreased Directors remuneration in the year reflects a director that resigned from his duties part way through the financial year.

² For FY 22, the methodology for determining directors' remuneration for the year has been modified to include the bonus accrued in respect of FY 22, instead of the bonus that was paid during the year. Directors' remuneration for FY 21 includes the bonus that was paid during the year and has not been restated.

Notes (continued)

6 Taxation

Recognised in the profit and loss account

	FY 22		FY 21	
	£000	£000	£000	£000
<i>Current tax</i>				
Current tax on income for the period		-		(4)
Group relief payable/(receivable)		23		-
Adjustments in respect of prior periods		-		(20)
Total current tax		23		(24)
<i>Deferred tax</i>				
Origination and reversal of timing differences	(5)		35	
Effect of tax rate change on opening balances	1		-	
Adjustments in respect of prior periods	5		-	
		1		35
		24		11

The difference between the total tax expense shown above and the amount calculated by applying the standard rate of UK corporation tax to the profit before tax is as follows:

Reconciliation of effective tax rate

	FY 22	FY 21
	£000	£000
Profit for the year	136	16
Total tax expense	24	11
Profit excluding taxation	160	27
Tax using the UK corporation tax rate of 19%	30	5
Fixed asset differences	-	-
Expenses not deductible for tax purposes	-	(9)
Group relief claimed	(23)	-
Payment of group relief	23	-
Adjustments in respect of prior periods	5	16
Deferred tax not recognised	(11)	(1)
Remeasurement of deferred tax for changes in tax rates	-	-
Total tax expense	24	11

An increase in the UK corporation tax rate from 19% to 25% (effective 1 April 2023) was substantively enacted during the year on 24 May 2021. Once effective, this change would increase the Company's future current tax charge accordingly.

On 23 September 2022, the UK Government announced revised plans to hold the rate of UK corporation tax at 19%, cancelling the previous plans to increase the rate to 25% from 1 April 2023. This revised plan has not yet been substantively enacted and has no impact on the current or deferred tax charge in the year ended 31 March 2022.

Notes (continued)

7 Tangible fixed assets

	Computer equipment £000	Total £000
Cost		
Balance at 1 April 2021	27	27
Acquisitions	1	1
Disposals	-	-
	28	28
Depreciation and impairment		
Balance at 1 April 2021	(18)	(18)
Depreciation charge for the year	(3)	(3)
Disposals	-	-
	(21)	(21)
Net book value		
At 31 March 2022	7	7
At 31 March 2021	9	9

8 Debtors

	FY 22 £000	FY 21 £000
Trade debtors	10	21
Amounts owed by Group undertakings	520	144
Capitalised implementation costs	73	75
Other debtors	2	8
	605	248

Amounts owed by Group undertakings are interest free and are repayable on demand.

Expected credit losses in relation to amounts owed by Group undertakings were immaterial in both the current and prior year.

Amounts relating to the capitalisation of non-distinct software implementation costs, incurred in advance of the commencement of the client's licence period, are recognised in current and non-current assets. Non-current capitalised implementation costs of £34,000 are presented on the face of the balance sheet. These current and non-current implementation assets in relation to Obsidian contracts are amortised over an expected life equivalent to the contracted licence period. Amortisation recognised in the period in respect of these costs amounted to £82,000 (FY 21: £69,000). No impairment was deemed necessary in the period. No significant judgements have been made in determining the amount of costs to be capitalised, which primarily comprise costs within scope of IAS 19 Employee Benefits.

9 Cash and cash equivalents

	FY 22 £000	FY 21 £000
Cash and cash equivalents	213	364
Closing balance	213	364

10 Creditors: amounts falling due within one year

	FY 22 £000	FY 21 £000
Trade creditors	0	-
Amounts owed to Group undertakings	87	26
Taxation and social security	-	-
Deferred income	80	74
Accruals	64	77
	231	177

Notes (continued)

10 Creditors: amounts falling due within one year (continued)

Amounts owed to Group undertakings are either interest-bearing or non-interest-bearing depending on the type of the creditor relationship and local regulatory requirements. At the balance sheet date all of these balances are non-interest-bearing. All amounts owed to Group undertakings are repayable on demand.

Deferred income recognises contract liabilities arising from the Company's revenue generating activities relating to payments received in advance of performance delivered under a contract. These contract liabilities typically arise on timing differences between satisfaction of the performance obligations relating to software licensing and the underlying billing schedule. The contract liability movement in the year represents these timing differences across contracts at each year end. The following table sets out the revenue recognised in the current year that relates to carry forward contract liabilities and the liabilities recognised in the current year which have been deferred to the next reporting period. Of a total £126,000 of deferred income recognised as a liability in the period, £80,000 is expected to be recognised as revenue within one year, with an additional £46,000 expected to be recognised in greater than one year.

	FY 22 £000	FY 21 £000
Contract liabilities relating to contracts with customers at start of period	133	154
Increase in contract liabilities for the period	126	133
Contract liabilities released	(133)	(154)
	<u>126</u>	<u>133</u>

Unperformed balances represents the revenue that the Company will earn from customers when the Company satisfies the remaining performance obligations in certain contracts. These mainly relate to multi-year contracts which range between 1 to 5 years in which software access revenue is recognised over the access period. The following table sets out the aggregate amount of the contracted transaction price allocated to performance obligations that are unsatisfied or partly satisfied at the year end date. Unperformed balances relating to contracts with an expected original life of less than one year are not disclosed. Similarly, the Company has adopted the practical expedient not to disclose amounts under longer term contracts in which the revenue is to be invoiced on agreed day rates. Revenue from unperformed performance obligations is expected to be recognised in the following timeframes.

	FY 22 £000	FY 21 £000
To be undertaken and recognised within one year	299	165
To be undertaken and recognised between one and three years	282	133
To be undertaken and recognised after three years	79	1
	<u>660</u>	<u>299</u>

11 Capital and reserves

Share capital

	FY 22 £	FY 21 £
<i>Allotted, called up and fully paid</i>		
144,219 ordinary shares of £0.001 each	144	144
2 ordinary shares of £0.50 each	1	1
8,475 preferred ordinary shares at £0.001 each	8	8
	<u>153</u>	<u>153</u>

The holders of ordinary shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company.

In the period, no fully paid up shares were issued by the Company at nominal value (FY 21: £Nil).

The holders of preference shares are entitled to receive dividends as declared from time to time and are entitled to one vote per share at meetings of the Company. On liquidation, preference shares are repaid before ordinary shares. These preference shares are not redeemable and dividends associated with the shares are discretionary.

12 Related parties

Identity of related parties with which the Company has transacted

The Company has not engaged in any transactions with any related parties other than with wholly owned subsidiaries. These transactions have not been disclosed as the Company has taken advantage of exemptions under FRS101.

13 Ultimate parent company and parent company of larger Group

The Company is a subsidiary undertaking of Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The ultimate controlling party is Alpha Financial Markets Consulting Plc.

Both the largest and smallest Group in which the results of the Company are consolidated is that headed by Alpha Financial Markets Consulting Plc, incorporated in England and Wales. The consolidated financial statements of the Group are available to the public and may be obtained from 60 Gresham Street, London, EC2V 7BB, or the website investors.alphafmc.com.